Northwind Technologies Inc. Annual Report FY2025

Management Discussion and Analysis

Revenue for fiscal year 2025 was $48.2 million, an increase of 12% year-over-year. Net income was $3.1 million and EBITDA reached $7.4 million. Gross margin improved to 61% as cloud hosting costs decreased.

Consolidated Income Statement

Metric	FY2025	FY2024
Revenue	$48.2M	$43.0M
Operating expenses	$39.6M	$36.1M
Net income	$3.1M	$2.2M

Risk Factors

Our independent auditors identified a material weakness in internal controls over financial reporting related to revenue recognition. A covenant breach under our credit facility could result in default under the facility if EBITDA falls below $5.0 million. We are subject to GDPR and a regulatory fine could materially affect results. Management concluded there is no substantial doubt about our ability to continue as a going concern.

Liquidity

Cash and cash equivalents were $9.8 million at year end. Total assets were $61.0 million and total liabilities were $27.4 million. Shareholders approved a dividend.